a far cry even in the capital cities of the country. Taking these ground realities into consideration, the policy reform agenda for utilities would need to be built around the following elements:

First, the private sector has been permitted to participate in the construction of new interstate transmission lines, although the government still tends to hold back many such projects. While PowerGrid may continue to exist as a public-sector enterprise, it has to be placed at arm's length from the Ministry of Power. This can be done by transferring the equity of the government in PowerGrid to the SAMC. There has been almost no opening of the intrastate transmission business for the private sector except recent privatization of a transmission utility in eastern UP. State governments should be incentivized/mandated to sell all state transmission utilities to PowerGrid and the private sector. New intrastate transmission lines should be awarded on a purely competitive basis.

Second, there is enough evidence in India that privatization of electricity distribution reduces transmission, distribution and collection losses as the private sector is more efficient at modernizing and maintaining networks and collecting bills. Consumers in Delhi, Kolkata and quite a few other cities have been saved an increase in the cost of electricity supply and have experienced better quality of service since privatization. The national policy should be to privatize distribution and supply of all cities by 2025. Rural areas can be bundled in appropriate territorial sizes and should also be privatized. The government can subsidize preferred customers like farmers and rural residential customers, if it chooses to do so, by paying subsidies directly in their bank accounts. With these reforms, the private sector would turn around the rural electricity businesses as well while employing modern technologies of electronic metering, prepaid billing and other necessary practices. To ensure that privatized electricity distribution businesses do not become exploitative monopolies, a strong regulatory system needs to be put in place besides making the electricity distribution